to meet Nehru's national industrialisation policy. His vision was carried forward by Dr. V. Krishnamurthy known as the "Father of Public sector undertakings in India". Indian statistician Prof. P.C. Mahalanobis was instrumental to its formulation, which was subsequently termed the Friedman–Mahalanobis model.

The 1991 industrial policy was radically different from all the earlier policies where the government was deliberating disinvestment of public sector and allowing greater freedom to the private sector. At the same time, foreign direct investment was invited from business houses outside india. Thus, multinational corporations, which operate in more than one country gained entry into the Indian economy. Thus, we have public sector units, private sector enterprises and multinational corporations coexisting in the Indian economy.

The objectives of Public Sector

- To promote rapid economic development through creation and expansion of infrastructure
- To generate financial resources for development
- To promote redistribution of income and wealth
- To create employment opportunities
- To promote balanced regional growth
- To encourage the development of small-scale and ancillary industries, and
- To accelerate export promotion and import substitution

Public Sector Organizations:

There are two types of public sector organizations, i.e. either the Government fully finances them through the revenues they raise by collection taxes, duties, fees, etc. of the government holds more than 51% of the total share capital of the company which comes under various ministries. The enterprises are established with service motive.

It is the largest sector, which works for the upliftment of the people by providing the following services to the people : Postal services , Railway services , Providing security, education and health facilities at low cost, and generation of employment opportunities, etc..

Organs of public sector:

1. Administration by a Government Department

It is very common almost in all countries.

Example - Post and Telegraph, Railways, Port Trust, Irrigation Projects on India etc.,



Chennai Port

2. The Joint sector companies:

It is governed by a company law and controlled by the Government as principal major share holders. Example - Indian Oil Petronas pvt ltd, Indian Oil Sky tanking Limited.

Ratnagiri Gas and Power Private Limited, Indian Synthetic Rubber Limited.



Indian Oil Petronas Pvt. Ltd.

3. Public Corporation :

This type of organization is the establishment of public corporation by the state of the parliament of legislature. Example - LIC, Air India, The Reserve bank of India, Electricity Board



Reserve Bank of India

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